



A DIVISIVE DEAL

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Behind the political storm triggered by the civil nuclear deal with the US lies deep-seated national concern over its long-term implications for India's security and strategic autonomy. The deal has divided India like no other strategic issue since Independence. After all, the deal is not just about importing nuclear reactors for electricity. It will determine what kind of India emerges in the years to come—a major independent power with the requisite economic and military strength, or a middling power trimming its sails to the American winds and still relying on imports to meet basic defence needs.

India now stands out as the only large country still deeply dependent on arms imports, to the extent that it has emerged as the world's largest weapons importer. The nuclear deterrent is the only strategic programme it has pursued somewhat successfully. While its nuclear posture calls for a "credible minimal deterrent", the country still hasn't developed a minimal, let alone credible, deterrent against its main challenge, China. Yet, New Delhi blithely put the nuclear programme on the negotiating table to reach a deal that implicitly imposes qualitative and quantitative restrictions on the Indian nuclear-weapons capability.

India has already paid a heavy price globally for its nuclear programme. And the deal seeks to exact a further price, in the name of freeing the country from some of the rigours of US export controls. America's technology controls and sanctions approach were fashioned largely in response to India's 1974 nuclear test. Today, the main target of that policy has come full circle doubly. First, India has agreed to be part and parcel of the US-led non-proliferation system just when that regime has begun to corrode. India is to "unilaterally adhere" to cartels that still exclude it from their membership.

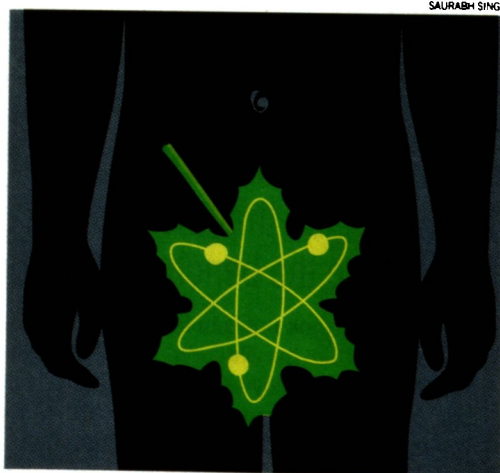
Second, in concluding a new accord under Section 123 of the US Atomic Energy Act, India has paid no heed to the lessons from an earlier '123 Agreement', signed in 1963. In the 1970s, America had cut off all fuel supplies to the US-built Tarapur reactors by enacting a new domestic law that rewrote the terms of the 123 Agreement. The new, iniquitous 123 Agreement not only grants the US the right to suspend all supplies by merely issuing a termination notice, but also omits a standard clause now found in America's 123 accords with other

set to replicate in the energy sector the very mistake it has pursued on armaments by sinking into an imports dependency. India is today willing to spend tens of billions of dollars to import overly-expensive reactors when it can profitably invest that money to commercially develop its own energy sources. Second, such imports will lead to energy insecurity, since the reactor and fuel business is the world's most politically regulated commerce.

Third, the deal's strategic costs are exorbitant. Like its conventional weaponry, India's embryonic nuclear-arms capability will remain sub-continental in range. To ensure that, India has been slapped with a nuclear test ban through a US law, with the 123 accord giving no reprieve. The US President is now required to annually certify to Congress that "India is in full compliance" with a long list of congressionally-imposed "commitments and obligations". India, for its part, has agreed to shut down by 2010 its newly-refurbished Cirus reactor, which produces a third of its weapons-grade plutonium.

Nothing better shows the patron-client relationship the deal anoints than one simple fact: While the US has an unfettered right to withdraw from all its obligations, India's are legally irrevocable and never-ending. Even if cooperation is arbitrarily terminated by the US, India will still be stuck with everlasting international inspections on its entire civil nuclear programme.

New Delhi needs to realise time is on its side. As a rising power, India could easily get a better deal, if it were patient and waited a few more years. Its interests, in any case, demand a deal not just restricted to what commercially appeals to America—power reactors and fuel—but facilitating an end to the full range of US-inspired technology sanctions.



states—that neither party will "invoke the provisions of its internal law as justification for its failure to perform" the agreement. India, gaining the right to be merely consulted but granting the US the right to take all final decisions, has put itself at the latter's mercy.

Let us look at the benefits the deal offers. India principally would be able to import power reactors and fuel—and in the process help revive the US nuclear-energy industry. It, however, would continue to face stringent US export controls on advanced and dual-use technologies critical to rapid economic growth. Even for its civil nuclear facilities, India will not be able to buy enrichment, reprocessing and heavy-water components, however minor.

Now look at the price. First, India is

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